CORPORATE SOCIAL RESPONSIBILITY POLICY

Document Metadata

Document Reference

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Document Revision and Change Control

Sr No.	Version	Date of Board Approval	Changes
1.	V1.0	8th August 2019	Initial Version Created
2.	V1.1	30th March 2021	Changes/Addition in CSR Programmes/Projects, Monitoring and Reporting clauses.
3.	V1.2	5th April 2021	Reviewed. No changes.
4.	V1.3	4th March 2022	Reviewed. No changes.
5.	V1.4	12th November 2025	Change in : • CSR Vision • Reporting and Assessment Addition of Annexure 1

Confidentiality Statement

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Introduction

Section 135 of the Companies Act, 2013 read with Companies (Corporate Social Responsibility Policy) Rules, 2014 and Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021 ('CSR Rules'), including any amendment thereof requires the Company to constitute a Corporate Social Responsibility ('CSR') Committee of Directors, adopt a CSR Policy, spend at least 2% of its average net profits made during the immediately preceding three financial years towards CSR activities as set out in Schedule VII to the Companies Act, 2013 and confirm compliance thereof in the Annual Report.

Accordingly, Svatantra Microfin Private Limited ('SMPL') has formulated and adopted this Corporate Social Responsibility Policy. The said policy was first approved and adopted by the Board of Directors at its meeting held on August 8, 2019.

Thereafter, pursuant to the amendments in CSR Rules on January 22, 2021, this Policy has been amended by the Board of Directors of the Company at its meeting held on March 30, 2021. This amended Policy shall be effective from March 30, 2021.

Background

SMPL is a Company incorporated under Companies Act 1956 and registered with the Reserve bank of India as Non-Banking Financial Company – Micro Finance Institution (NBFC-MFI). SMPL aims to encourage entrepreneurship where traditional banking systems cannot penetrate. SMPL is engaged in the business of lending to women borrowers under 'Joint Liability Group (JLG) based individual lending' model.

SMPL is conducting its business in a way that the Company achieves its business goals and objectives with a due consideration of community's economic, environmental and social aspirations and therefore commits to integrate Corporate Social Responsibility ('CSR') with its business processes.

Title and Applicability

SMPL has developed this policy titled 'Corporate Social Responsibility Policy' ('CSR Policy') encompassing the Company's philosophy for being a responsible corporate citizen and lays down the principles and mechanism for undertaking various program in accordance with Section 135 of the Companies Act, 2013 (the 'Act') read along with the rules and schedules framed therein for the Company at large.

The CSR Policy shall guide the CSR programme and activities undertaken by the Company in the geography/ communities in which it operates.

Definitions

In this CSR Policy, unless the context otherwise requires,

- "Act" means the Companies Act, 2013 and rules made thereunder (as amended from time to time)
- "Board" means the Board of Directors of the Company and will include any Committee of the Board;

- “Corporate Social Responsibility (CSR)” means and includes projects or programs relating to activities, areas, or subject specified in Schedule VII to the Act as amended from time to time;
- “CSR Committee” shall mean the Committee of the Board constituted pursuant to Section 135 of the Act.

CSR Vision

SMPL, through its CSR projects, envisions a resilient India where individuals can fully realize their entrepreneurial potential. SMPL’s community-driven, evidence-based CSR programs unlock potential, foster economic & social advancement, and promote well-being.

With this vision statement, we aim to impact half a million lives by FY 2030.

CSR Committee

The Board of Directors of the Company has constituted a Board Committee for CSR called Corporate Social Responsibility (CSR) Committee which is constituted with 3 (Three) Directors.

Responsibilities of CSR Committee:

- Formulate and periodically update CSR Policy, to be submitted to the Board of Directors for approval.
- Developing the CSR strategy and operationalize institutional mechanisms
- Suggest areas of intervention and method of support
- Identify focus areas/ activities that are in line with the CSR Policy
- Recommend the CSR expenditure to the Board for approval
- Meet at least twice a year to review the progress made and suggest corrective actions
- Any other relevant matters/ issues which need to be undertaken in accordance to CSR policy

Review and Display of CSR Policy

The Board of Directors shall review the CSR Policy at least once a year.

The CSR Policy on being approved by the Board shall be displayed on the website of the Company and any modifications carried out from time to time shall also be updated on the website of the Company respectively.

Objectives of CSR Policy

The objectives of CSR Policy of the Company are to:

- Build a framework of CSR activities with a philanthropic approach in line with business unit objectives, which also benefits the organization at large
- Shape sustainability for the organization by 'Engaging the Community
- Build a corporate brand through CSR; and
- For other stakeholders, make it "an integral part of the Company's DNA, so much so that it has to be an organic part of the business

CSR Program/Projects

SMPL shall conduct its CSR activities as laid down in Schedule VII of the Companies Act, 2013 and as approved by the CSR Committee of the Company. These activities will in turn focus on established need, sustainability, and focused outcomes of the chosen sectoral themes. SMPL shall seek to identify suitable programs/ projects/ activities as enumerated under Schedule VII of Companies Act, 2013, to ensure its contribution to the community and society at large. For this purpose, SMPL may identify non-profit organizations to help facilitate its strategic CSR investments. All of our programs under CSR would be carried through the advisory and support of the Ananya Birla Foundation.

The Company plans to focus its CSR initiatives and adopt a structured approach to the core areas of intervention undertaken across India, in line with the spread of its business & operations.

The following activities shall not form part of the CSR activities of the Company:

1. The activities undertaken in pursuance of normal course of business of a company
2. Any activity undertaken outside India
3. Any contribution directly/indirectly to political party or any funds directed towards political parties or political causes under Section 182 of the Companies Act, 2013
4. CSR projects/programs or activities that benefit only the employees of the Company
5. Activities supported by Companies on sponsorship basis for deriving marketing benefits for its services
6. Activities carried out for fulfillment of any other statutory obligations under any law in force in India

CSR Budget

The SMPL shall endeavor that funds to the tune of at least 2% of the average net profits of the Company during the immediately preceding three financial years is allocated towards the CSR programme/ projects as mentioned above. The CSR Committee will recommend the allocation of funds for each programme or project or activities for approval by the Board.

The Company may collaborate or pool resources with other organizations or companies to undertake CSR activities in compliance with provisions of the Act.

A. Implementation Process:

- CSR programme/ projects to be undertaken by the Company will be identified by the CSR Committee;
- The CSR Committee shall recommend the CSR programme/ projects, specifying modalities of its execution and the amount of expenditure to be incurred on the programme/ projects;
- Upon recommendations of the CSR Committee, the Board shall specifically approve such CSR projects/programs and the amount of expenditure;
- The Company may directly undertake the CSR activities as permitted under Schedule VII and approved by the CSR Committee or execute and implement CSR activities through any other Implementing Agency registered in India, having a valid CSR Registration Number granted by the Ministry of Corporate Affairs (MCA) and having track record of service, performance, governance, and accountability.

- The Company may engage the services of external expert agencies, consultancy firms etc for carrying out any survey, assessment or report with regards to any CSR programme/ projects to be undertaken by the Company;
- The CSR contribution would be for a project as identified by the Company, either for a single financial year or as an ongoing project for multi-years, depending on the scale and needs of the project.
- The disbursement of the contribution amount by the Company to the Implementing Agency shall be made only if they have a unique CSR registration number granted by the MCA and requisite approvals and registrations as required under the Income Tax Act, 1961 or other applicable laws in India;
- The disbursement will be made only upon receipt of a proposal from the Implementing Agency specifying the budget that is required, activity for which it is required and project outputs & outcomes, as may be required.
- The Board is authorized to delegate the implementation of CSR programs to suitable implementing entities or individuals, aligning with the budgets and timelines outlined in the Board's approved CSR Annual Action Plan.
- Any surplus arising out of the CSR Projects or programs or activities shall not form part of the business profit of the Company;
- The CSR Committee is authorized to settle all queries, differences or doubts that may arise in relation to the implementation of the CSR programme/ projects as may be approved by the Board.

B. Monitoring:

The Company shall be entitled to receive the following information (as applicable) from the Implementing Agencies in line with CSR guidelines issued by Ministry of Corporate Affair (MCA) and as amended from time to time:

➢ A valid CSR Registration Number granted by the Ministry of Corporate Affairs (MCA);

➢ A valid Registration Certificate under Section 12A of the Income-tax Act ;

➢ A valid Registration Certificate under Section 80G of the Income-tax Act ;

➢ Proof to substantiate a track record of 3 years in undertaking CSR activities.

To ensure steady progress and proper utilization of CSR amount, the following monitoring mechanism may be adopted:

- The Board shall satisfy itself that the funds so disbursed have been utilized for the purpose and in the manner as approved by it.
- The Chief Financial Officer of the Company or any other person responsible for financial management shall certify the utilisation of funds disbursed for CSR projects.
- In case of ongoing project, the Board shall monitor the implementation of the project with reference to the approved timelines and year-wise allocation and shall be competent to make modifications, if any, for smooth implementation of the project within the overall permissible time period.

Reporting and Assessment

The CSR Committee shall report to the Board of Directors of the Company, the status of the CSR projects undertaken by the Company in the Annexure to the Directors' Report, in the Company's Annual Report.

Svatantra Microfinance shall undertake impact assessments of its CSR projects in accordance with the provisions of the Companies Act, 2013 and the rules made thereunder.

The Company shall engage an independent third-party agency to conduct impact assessments of CSR projects with an outlay of ₹1 crore or more, and which have been completed not less than one year prior to the assessment

The cost of undertaking impact assessments shall be capped at 2% of the total CSR expenditure of the Company or ₹50 lakhs, whichever is higher, in line with applicable regulatory guidelines.

The findings and reports of the impact assessment shall be placed before the CSR Committee and the Board of Directors, and shall also be disclosed in the Annual Report on CSR activities as required under the statutory and regulatory norm. The Company shall upload this Policy, and all other information as statutorily required on its Website

https://svatantramicrofin.com/. **General**

Any amendment or modification to the CSR policy shall be approved by the Board on the recommendation of the CSR Committee.

Areas of CSR Intervention (Annexure 1)

Enumerated below are the key thematic areas under which the Company will implement its CSR initiatives. These areas will be periodically reviewed by the CSR Committee and the Board. Specific programs under each area will be undertaken in line with the CSR Policy and aligned with the provisions of Schedule VII of the Companies Act, 2013, with the objective of maximizing social impact.

1. Promotion of Well-being

Mental health remains an invisible yet urgent challenge in India, particularly in conflict-affected and underserved regions. The Company supports programs focused on strengthening mental health systems and improving access to mental healthcare for vulnerable populations. These interventions aim to build awareness, reduce stigma, and enhance community and institutional capacity to respond effectively to mental health needs.

2. Social Advancement

The Company is committed to advancing social equity by supporting initiatives that promote education, inclusion, well-being, and the rights of marginalized communities. Programs under this area may include gender justice, disability inclusion, climate action, heritage preservation, and support to veterans and sports initiatives, etc.

3. Economic Advancement

The Company supports grassroots organizations that focus on building economic resilience and entrepreneurial capacity among rural women. These initiatives aim to strengthen local enterprises, enhance the effectiveness of semi urban/ rural entrepreneurs , and integrate women into emerging value chains through skill development, access to finance, and market linkages.

4. Relief Support

The Company support rural/ semi urban population under any exigency related to natural calamity/ health care concern or others.